IPO Analysis

Study of an IPO

Company Name: Orient Cables

Industry: Manufacturing, Electrical Equipment, and Telecommunication Accessories/Networking.

IPO Size: ₹552 crore comprising 2,02,94,114 equity shares

Issue Price: ₹272 per share

Listing Price: ₹450 per share on the NSE/BSE

Current Price: ₹380.80 per share

Subscription: 92.27 times (or 97.28 times across final tracking platforms)

Purpose of IPO: The primary purpose of the Orient Cables IPO is to raise ₹552 crore through a combination of a ₹320 crore fresh issue and a ₹232 crore offer for sale. Also, for Debt Repayment, General Corporate Purposes, Promote/Shareholder Liquidation.

2 Risks: Negative Operating Cash flow; High Customer and Supplier Concentration.

My View and Approach: Orient Cable IPO has a plausible growth story, but its financial performance has not yet established that the premium valuation is justified. So, it is better to observe it analytically and not investing in it.

1. Initial Public Offering (IPO), it is a process by which a private company offers its shares to the public for the first time and becomes publicly listed on a stock exchange, such as the NSE or the BSE in India.

2. Companies generally launch IPOs for several reasons: Business Expansion: To build factories, purchase equipment or enter new markets; Debt Repayment: To reduce outstanding loans; Research and Development: To develop new products and technologies; Shareholder Exit: Existing investors may sell some of their shares to the public.

3. The IPO price is the price at which a company offers its shares to investors for the first time when it goes public.

4. The listing price is the price at which a company's shares begin trading on a stock exchange for the first time after its IPO.

5. IPO subscription tells us how many times investors have applied for the shares available in an IPO. It helps us understand the level of investor demand for a company's shares during the IPO application period.

6. An Investment Banker helps a company launch its IPO, determine an appropriate share price, comply with regulations, and sell shares to investors. Think of an Investment Banker as the bridge between a company that wants to raise money and investors who want to invest in it.

7. Listing Gain is the profit an investor makes when a company's share lists on the stock exchange at a price higher than its IPO issue price. It is usually expressed as a percentage of the IPO issue price.

8. **Moneyview-** Digital Lending and Financial services.
   A-One Steels India- Steel Manufacturing.

Practical Question-
Formula for Listing Gain% = Listing Price – IPO price/IPO price x 100%
Answer= 20%